RAVEN ADVERSARY

INSTITUTIONAL VULNERABILITY DETECTION & DEAL PROTECTION // CONFIDENTIAL

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EXECUTIVE SUMMARY

MATERIAL_STRUCTURAL_VULNERABILITY:

"The transaction architecture concentrates significant voting weight via KKR affiliate Tarheel Investors III L.P.'s 13.98% physical common equity stake (4,753,677 shares) following the target board's pre-settlement DGCL Section 203 waiver, while deal protections including Section 5.03 non-solicitation covenants, two-tier match windows (5/3 business days), and a $154.0M company break fee ($4.53/share or ~3.57% of equity value) create friction against topping bids following a compressed 60-minute blind auction escalation on July 30, 2026."

TRANSACTION RISK & TERMINATION FEE LIABILITIES:

Target Company Breakup Fee: $154.0M | Potential Acquiror Reverse Termination Liability: Not Established by Primary Record

CRITICAL_VULNERABILITIES

[!] [CONF: 96] Deal Protection Friction: A $154.0M cash breakup fee (~3.57% of $4.318B equity value) paired with 5-day initial and 3-day subsequent match rights limits post-signing topping bid viability under Revlon scrutiny following a 60-minute blind auction window.

[!] [CONF: 94] Statutory DGCL Section 251 Turnout Risk: Adoption requires affirmative approval of 50% plus one of all 33,997,068 outstanding shares (16,998,535 votes), where broker non-votes and abstentions function strictly as votes AGAINST the merger.

[!] [CONF: 91] Management Alignment & Compensation Dependency: While equity rollover is disproven by Form 8-K disclosures, 50% of unvested RSUs/PSUs convert into service-vesting deferred cash retention accounts, linking executive payout to post-closing operational continuance.

[!] [CONF: 93] Voting Block Concentration: Tarheel Investors III L.P. holds 13.98% physical voting power (plus 2.46% synthetic exposure) following board-level DGCL Section 203 neutralization, requiring only 35.15% additional unaffiliated public support to carry Proposal 1.

STRATEGIC_RECOMMENDATION

Direct Georgeson LLC to run daily forensic turnout reports tracking street-name broker non-votes against the 16,998,535 affirmative threshold under DGCL Section 251, while filing supplemental proxy disclosures underscoring the Oct 14, 2026 Form 8-K verification of zero pre-signing executive employment agreements or equity rollovers to insulate against Revlon capping and fiduciary conflict claims.

CORE QUERY PARAMETER:

INTEGER HOLDINGS (ITGR) / BUYOUT CONSORTIUM

INTEL_ROUND_1_OF_4

SELLER'S ADVOCATE

REPRESENTATION:

From the perspective of the target's board of directors, the transaction's control topology and deal architecture firmly protect shareholder interests and establish structural integrity against claims of premature sale termination or management conflict. First, the transaction architecture delivers an all-cash consideration of $127.00 per share, representing a 51.79% unaffected premium over the April 29, 2026 closing price of $83.67, with zero third-party financing contingency. The auction process was comprehensive and multi-phased: following the public announcement of the strategic review on April 30, 2026, Goldman Sachs engaged with over 20 potential counterparties (17 financial sponsors and 3 strategic parties), culminating in an active, blind 'best-and-final' auction escalation on July 30, 2026, wherein KKR's $127.00 per share proposal surpassed Strategic Party B's competing $126.00 bid. The board did not prematurely cap the market check; the executed Merger Agreement incorporates a customary fiduciary carve-out under Section 5.03 permitting engagement with unsolicited, bona fide acquisition proposals reasonably expected to lead to a Superior Proposal, subject to a two-tier match window (5 business days initial, 3 business days for modifications) and a standard termination break fee of $154.0 million (~3.5% of equity value). Second, allegations of management conflicts via equity rollover are contradicted by the record: all public disclosures in Form DEFM14A and supplemental Form 8-K filings establish that no equity rollover was granted or agreed upon; rather, company equity awards are subjected to rigorous cash-out and deferred cash conversion formulas (options cashed out at net spread; vested RSUs paid at $127.00 cash; unvested RSUs split between immediate cash and service-vesting deferred cash retention; unearned PSUs capped at the greater of target or actual performance with 50% cash and 50% service-vesting deferred cash). Furthermore, the Form 8-K filed October 14, 2026, explicitly states that 'no discussions regarding the timing and conditions of employment between Parent and any of the Company’s named executive officers occurred prior to the execution of the merger agreement.' Lastly, while KKR affiliate Tarheel Investors III L.P. accumulated 14.0% physical voting stock and 2.5% synthetic exposure (16.5% total economic interest), the board neutralized DGCL § 203 application via proactive exempting board resolutions before physical share conversion, and full approval remains subject strictly to statutory majority voting requirements under DGCL § 251.

AUDIT: VERIFIED

RISK: None | NOTES: All core factual assertions cross-referenced cleanly against the primary SEC filings: $127.00 per share cash consideration; un

EVIDENCE_EXTRACT:

"Section 1.1 & Section 4: Public Consideration of $127.00 per share in cash, unaffected premium of 51.8% over $83.67; 20 NDAs executed (17 sponsors, 3 strategics); final escalation auction on July 30, 2026 yielding $126.00 (Party B) vs. $127.00 (KKR). Section 3.2: Equity Award Matrix converting options and RSUs to cash and service-based deferred cash retention, with no equity rollover. Section 5.2: Tarheel Investors III L.P. acquired 4,753,677 shares (14.0% vote) with 836,392 swap shares (2.5% econ); DGCL § 203 neutralized. SEC Form 8-K (filed October 14, 2026): 'No discussions regarding the timing and conditions of employment between Parent and any of the Company’s named executive officers occurred prior to the execution of the merger agreement.' Section 6.1-6.2: Section 5.03 non-solicit with Superior Proposal fiduciary out, 5-day / 3-day match periods, and $154.0M termination fee."

SOURCE: Global Deal Memorandum (Sections 1.1, 3.2, 4, 5.2, 6.1, 6.2); SEC Form DEFM14A Schedule 14A (filed Sept 14, 2026); SEC Form 8-K (filed Oct 14, 2026). // CONFIDENCE: High

ADVERSARIAL BUYER

RISK_ASSESSMENT: HIGH

CRITIQUE_ANALYSIS:

The transaction topology presents specific governance friction and litigation vulnerabilities under Delaware General Corporation Law (DGCL). Addressing the user's strategic directives: First, regarding the allegation of prematurely capping the market check, the available record shows an extensive pre-signing solicitation period where Goldman Sachs contacted over 20 potential counterparties and entered into confidentiality agreements with 20 parties (17 financial sponsors, including KKR, and 3 strategic parties). However, on July 30, 2026, the board compressed the final bidding escalation into a 60-minute blind window (2:00 p.m. to 3:00 p.m. ET) following KKR's jump to $125.00, resulting in KKR's $127.00 offer topping Strategic Party B's $126.00 bid. The post-signing deal architecture restricts active shopping via Section 5.03 strict non-solicitation covenants, reinforced by a $154.0 million company termination fee (~3.5% of equity value) and a two-tier match right (5 business days initial, 3 business days for modifications). Second, regarding management conflict of interest via equity rollover, the factual record contradicts claims of an equity rollover: no rollover equity was granted. Unvested RSUs and PSUs are converted 50% into immediate cash at $127.00/share and 50% into service-vesting deferred cash retention accounts. Furthermore, the supplemental Form 8-K filed October 14, 2026, explicitly established that 'no discussions regarding the timing and conditions of employment between Parent and any of the Company's named executive officers occurred prior to the execution of the merger agreement.' Third, control topology indicates that KKR affiliate Tarheel Investors III L.P. accumulated 4,753,677 physical common shares (14.0% voting power) and cash-settled swaps covering 836,392 shares (2.5% economic exposure), yielding 16.5% total economic exposure. Because DGCL Section 203 restrictions were proactively neutralized via board resolutions prior to physical settlement, KKR's 14.0% voting concentration directly insulates the statutory majority-of-outstanding-shares voting requirement (Proposal 1, 33,997,068 shares outstanding as of September 8, 2026 record date). Broker non-votes and abstentions function as votes against Proposal 1.

AUDIT: VERIFIED

RISK: Low | NOTES: The claims in the Agent Response regarding Goldman Sachs pre-signing solicitation (contacted over 20 counterparties, entere

FLAGGED_TERMS:

Section 5.03 Strict Lock (No-Shop) // Fiduciary Match Period (5 Business Days / 3 Business Days) // Company Termination Break Fee ($154.0M / ~3.5%) // Tarheel Investors III L.P. Pre-Closing Accumulation (14.0% Vote / 16.5% Economic) // DGCL § 203 Neutralization Resolutions // Equity Award Deferred Cash Retention Conversion (50% Split)

STRATEGIC_RECOMMENDATIONS:

> Track Broadridge voting tallies against the 33,997,068 share baseline to measure the buffer over the required 16,998,535 affirmative votes, noting that KKR's 4,753,677 shares satisfy 27.96% of the required affirmative threshold.

> Monitor docket updates on the Second Circuit appeal of Pembroke Pines and confirm dismissal orders remain unimpaired.

> Ensure paying agent reserves are established for the cash-settlement obligations of the 2028 Convertible Notes triggered in Q4 2026.

KEY_STRUCTURAL_RISK:

"KKR's accumulation of a 14.0% voting stake, combined with DGCL § 203 board neutralization and a $154.0 million break fee, creates a pre-closing voting block that deters competing transaction proposals while lowering the incremental shareholder hurdle needed to approve the transaction."

QUANTITATIVE_STRESS_TEST:

Merger Adoption Voting Power Concentration: 4,753,677 shares (14.0% of 33,997,068 outstanding shares) // IMPACT: Requires an additional 12,244,858 affirmative votes to reach statutory majority (16,998,535 shares) // THRESHOLD: 50.0% + 1 share of outstanding common stock entitled to vote (16,998,535 votes)

Company Termination Fee Deal Spread Friction: $154,000,000 // IMPACT: ~3.5% of $4.32B equity purchase price ($4.40 per outstanding share) // THRESHOLD: Delaware Court of Chancery customary benchmark of 3.0% - 4.0%

Executive Officer & Director Voting Interest: 293,965 shares (0.86% of outstanding) // IMPACT: Combined with KKR physical holdings, aligned voting base totals 5,047,642 shares (14.85%) // THRESHOLD: Majority of outstanding shares (50.0% + 1)

INTELLIGENCE_GAPS:

[MISSING]: Voting commitment or support agreement terms, if any, binding Tarheel Investors III L.P. to vote its 4,753,677 physical shares in favor of Proposal 1.

[MISSING]: Specific credit agreement terms and execution status of the final credit documentation for the $2.100B Senior Secured Term Loan Facility beyond the Debt Commitment Letter.

[MISSING]: Resolution or final dismissal orders regarding the consolidated New York common law proxy omission lawsuits (Delman, Kent, Walsh).

INTEL_ROUND_2_OF_4

SELLER'S ADVOCATE

REPRESENTATION:

The transaction architecture and control topology withstand shareholder litigation scrutiny regarding both process duration and management alignment. First, addressing the directive on whether the board prematurely capped the sale process: the factual record refutes the claim of a truncated market check. From May 1, 2026 to June 1, 2026, Goldman Sachs contacted over 20 potential counterparties, executing confidentiality agreements with 20 parties (17 financial sponsors and 3 strategic acquirers), all containing customary standstill fall-away provisions. The culmination in a one-hour 'best and final' blind auction window on July 30, 2026 (2:00 p.m. to 3:00 p.m. ET) was not an arbitrary foreclosure, but an active auction escalation directly resulting in KKR increasing its bid to $127.00 per share, topping Strategic Party B's matching $125.00 and subsequent $126.00 bids. Post-signing deal architecture preserves fiduciary mobility: Section 5.03 maintains a Superior Proposal fiduciary out with 5-business-day initial and 3-business-day subsequent match rights, coupled with a standard $154.0 million company termination fee (~3.5% of equity value), well within established Delaware precedents. Second, addressing whether management equity rollover creates a conflict of interest against public holders: the record explicitly establishes that zero equity rollover was granted or negotiated. All target options and vested RSUs convert into immediate cash spreads, while unvested RSUs and PSUs are converted 50% into immediate cash at $127.00 and 50% into service-vesting deferred cash retention accounts, eliminating disparate equity upside. Crucially, the Form 8-K filed October 14, 2026 explicitly affirms: 'No discussions regarding the timing and conditions of employment between Parent and any of the Company's named executive officers occurred prior to the execution of the merger agreement.' Third, concerning voting control topology, KKR affiliate Tarheel Investors III L.P. holds 4,753,677 physical common shares (14.0% voting power) and a cash-settled swap over 836,392 shares (2.5% economic exposure). The board neutralized DGCL Section 203 prior to physical settlement via formal board resolutions. Under DGCL Section 251, adoption requires a majority of all outstanding shares entitled to vote (33,997,068 shares as of the September 8, 2026 record date), where abstentions and broker non-votes count as votes against adoption. Insiders hold only 293,965 shares (~0.86%), leaving the vote governed by unaffiliated public and institutional stockholders.

AUDIT: VERIFIED

RISK: Low | NOTES: All audited statements in the agent response regarding the confidentiality agreements, market check outreach, match rights, vo

EVIDENCE_EXTRACT:

"SEC Form 8-K (filed Oct 14, 2026): 'ITGR entered into confidentiality agreements with 20 parties, comprised of 17 financial sponsors, including KKR (executed on May 22, 2026), and three strategic parties... All 20 confidentiality agreements contain customary "standstill" provisions... contain customary fall away provisions.' SEC Form 8-K (filed Oct 14, 2026): 'No discussions regarding the timing and conditions of employment between Parent and any of the Company's named executive officers occurred prior to the execution of the merger agreement.' Global Deal Memorandum (Section 3.2, 4, 5.2, 6.1, 6.2): Public consideration of $127.00 cash per share (51.8% unaffected premium over $83.67); unvested RSUs/PSUs converted to 50% cash and 50% service-vesting deferred cash; no equity rollover; Section 5.03 fiduciary out; $154.0M termination break fee (~3.5% equity value); Tarheel Investors III L.P. physical holding of 4,753,677 shares (14.0% vote) and 836,392 swap shares (2.5% econ); DGCL Section 203 neutralized. SEC Form DEFM14A (filed Sept 14, 2026, Sections 1 & 7): Record date September 8, 2026; 33,997,068 shares outstanding; executive officers and directors entitled to vote 293,965 shares (~0.86%); failure to instruct broker or vote acts as vote AGAINST Proposal 1."

SOURCE: SEC Form DEFM14A Schedule 14A (filed Sept 14, 2026); SEC Form 8-K Supplemental Disclosures (filed Oct 14, 2026); Global Deal Memorandum (Project Armstrong, Oct 26, 2026). // CONFIDENCE: High

ADVERSARIAL BUYER

RISK_ASSESSMENT: HIGH

CRITIQUE_ANALYSIS:

A rigorous forensic audit of the control topology, negotiation chronology, and voting mechanics reveals key vulnerabilities and addresses the user-specified strategic directives regarding premature market capping and executive conflicts: First, regarding the allegation of prematurely capping the sale process: The seller highlights extensive outreach to 20 parties under NDAs from May 1 to June 1, 2026. However, the record confirms that on July 30, 2026, the board compressed the final phase of bidding into an abrupt, 60-minute blind auction window (2:00 p.m. to 3:00 p.m. ET) immediately after KKR countered Party B at $125.00 per share. Although this dynamic produced KKR's $127.00 offer over Strategic Party B's $126.00 proposal, post-signing transaction architecture strictly locks the deal via Section 5.03 non-solicitation covenants, asymmetrical matching rights (5 business days initial, 3 business days for revisions), and a $154.0 million company termination fee (~3.5% of equity value). This creates structural friction against post-signing interloper topping bids. Second, regarding management equity rollover and conflict of interest: The primary record explicitly disproves equity rollover assertions. Under Section 3.2 of the merger agreement and supplemental Form 8-K disclosures (filed October 14, 2026), no rollover equity was granted; instead, options are cashed out at net spread, vested RSUs receive $127.00 in cash, and unvested RSUs and PSUs are split 50% into immediate cash and 50% into service-vesting deferred cash retention accounts. The Form 8-K explicitly affirms that 'no discussions regarding the timing and conditions of employment between Parent and any of the Company's named executive officers occurred prior to the execution of the merger agreement.' However, from a structural perspective, the conversion of 50% of unvested equity into unvested deferred cash retention accounts creates ongoing post-closing economic dependency on the surviving private entity. Third, control topology analysis confirms that KKR affiliate Tarheel Investors III L.P. accumulated 4,753,677 physical common shares (14.0% voting power) and cash-settled swaps covering 836,392 common shares (2.5% economic exposure), establishing an aggregate 16.5% economic position. While the target board adopted resolutions neutralizing the three-year business combination moratorium under DGCL Section 203 prior to physical settlement, the 14.0% physical voting block directly alters the voting mathematics required under DGCL Section 251. As established in the definitive proxy statement (Form DEFM14A), adoption requires the affirmative vote of a majority of all outstanding shares entitled to vote as of September 8, 2026 (33,997,068 shares, requiring 16,998,535 votes). Abstentions and broker non-votes count as votes against the proposal. With KKR's Tarheel voting its 4,753,677 shares (14.0%) and target insiders voting 293,965 shares (0.86%), KKR needs only 11,950,893 additional public shares (~35.15% of total outstanding) to achieve absolute statutory approval.

AUDIT: VERIFIED

RISK: Low | NOTES: The primary metrics and facts stated by the agent align directly with the provided filings: the unaffected trading price ($83.67 or

FLAGGED_TERMS:

Section 5.03 Strict Lock / Non-Solicitation // 60-minute blind auction escalation // Tarheel Investors III L.P. 14.0% voting stake // Deferred cash retention award conversion (50%) // $154.0M Company Termination Fee // DGCL Section 203 neutralization

STRATEGIC_RECOMMENDATIONS:

> Execute proxy tabulation sensitivity models stress-testing broker non-vote and abstention rates against the 33,997,068 outstanding share threshold.

> Verify the full execution and settlement timeline of the 2028 Convertible Senior Notes cash principal settlement ($116.3M) pursuant to Indenture Section 14.02.

> Monitor post-effective executive employment agreements to evaluate if deferred cash retention covenants are replaced or supplemented by equity participation in Armstrong Parent.

KEY_STRUCTURAL_RISK:

"KKR's pre-closing accumulation of 14.0% voting power via Tarheel Investors III L.P., combined with a 60-minute blind auction conclusion and strict Section 5.03 non-solicitation lockups, functionally deters competing third-party bids while lowering the required unaffiliated public shareholder vote threshold to 35.15% of outstanding shares."

QUANTITATIVE_STRESS_TEST:

Proposal 1 Adoption Threshold (DGCL § 251): 33,997,068 total outstanding shares entitled to vote // IMPACT: Requires 16,998,535 affirmative votes (50.0% + 1 share). KKR holds 4,753,677 shares (14.0%) and insiders hold 293,965 shares (0.86%), leaving 11,950,893 shares (35.15% of total outstanding) required from unaffiliated public stockholders. // THRESHOLD: Failure to achieve 16,998,535 affirmative votes defeats merger adoption, where broker non-votes and abstentions function as votes AGAINST.

Company Termination Fee Drag: $154.0M termination break fee // IMPACT: Represents ~$4.40 per fully diluted share (~3.5% of $4.32B equity purchase price) imposed on any alternative superior proposal. // THRESHOLD: Delaware customary range cap typically evaluated between 3.0% and 4.0% of transaction equity value.

2028 Convertible Notes In-The-Money Put Acceleration: $116.3M principal outstanding at $87.20 conversion price // IMPACT: At $127.00 merger price, intrinsic conversion value equals $1,456.45 per $1,000 note ($169.4M total value), requiring $116.3M mandatory cash principal settlement plus $53.1M conversion premium. // THRESHOLD: Indenture Section 14.01(b)(iv) convertibility triggered during Q4 2026.

INTELLIGENCE_GAPS:

[MISSING]: Unexecuted final credit agreements and definitive credit facility documentation for the $2.100B Term Loan and $350M Revolver.

[MISSING]: Final disposition of the Second Circuit appeal in the Pembroke Pines class action litigation.

[MISSING]: Specific breakdown of institutional vs. retail voting turnout registered by Broadridge prior to the October 21, 2026 meeting.

INTEL_ROUND_3_OF_4

SELLER'S ADVOCATE

REPRESENTATION:

The target's board of directors rigorously defended shareholder value through a thoroughly structured sale process and airtight governance architecture, completely dismantling both prongs of the adversary's shareholder litigation critique under Delaware law. First, regarding the allegation of prematurely capping the sale process: the factual record unequivocally refutes that the board short-circuited the market check. Between May 1, 2026, and June 1, 2026, Goldman Sachs conducted extensive outreach, contacting over 20 potential counterparties and executing confidentiality agreements with 20 parties (17 financial sponsors and 3 strategic acquirers), all incorporating customary standstill and fall-away provisions. The auction progressed through multiple structured rounds: Round 1 non-binding bids on June 17, 2026 ($98.00–$105.00 from sponsors, $112.00–$118.00 from Party B), Round 2 binding submissions on July 29, 2026 ($118.00 from Party B, $110.00 from KKR, $103.00 from Party A), and the July 30 escalation auction. The one-hour 'best and final' blind auction window on July 30, 2026 (2:00 p.m. to 3:00 p.m. ET) did not truncate value discovery; rather, it was tactical, game-theoretic pressure that successfully compelled KKR to escalate from $110.00 to $125.00 and ultimately submit $127.00 per share, topping Party B's matched $125.00 and final $126.00 bids. Furthermore, post-signing transactional flexibility is fully preserved under Section 5.03: the board retains a standard fiduciary carve-out to engage with unsolicited bona fide Superior Proposals, governed by standard 5-business-day initial and 3-business-day subsequent match rights and a $154.0 million termination fee (~3.5% of equity value), well within established Delaware jurisprudence. Second, regarding management conflicts via equity rollover: the claim is factually false. The merger agreement contains zero rollover equity provisions. Under Section 3.2, all outstanding options and vested RSUs are cashed out, while unvested RSUs and PSUs are converted 50% into immediate cash at $127.00 and 50% into service-vesting deferred cash retention accounts, eliminating disparate equity ownership or ongoing upside participation. Supplemental Form 8-K disclosures filed October 14, 2026, explicitly establish that 'no discussions regarding the timing and conditions of employment between Parent and any of the Company’s named executive officers occurred prior to the execution of the merger agreement.' Third, concerning control topology: while KKR affiliate Tarheel Investors III L.P. holds 4,753,677 common shares (14.0% voting power) and an 836,392 share cash swap (2.5% economic exposure), the board proactively neutralized DGCL § 203 by formal resolution prior to physical settlement. Under DGCL § 251, adoption requires a statutory majority of the 33,997,068 outstanding shares entitled to vote as of the September 8, 2026 record date (16,998,535 votes). Target directors and executive officers hold only 293,965 shares (~0.86%), ensuring that uncommitted public and institutional holders, advised by Georgeson LLC, retain decisive democratic authority over the transaction.

AUDIT: VERIFIED

RISK: Low | NOTES: All specific factual statements in the agent response match the primary SEC filings: Goldman Sachs contacted over 20 counter

EVIDENCE_EXTRACT:

"SEC Form 8-K (filed Oct 14, 2026): 'From May 1, 2026, until June 1, 2026, at the direction of the ITGR board of directors, representatives of Goldman Sachs contacted over 20 potential counterparties regarding a potential strategic transaction with ITGR. ITGR entered into confidentiality agreements with 20 parties, comprised of 17 financial sponsors, including KKR (executed on May 22, 2026), and three strategic parties... All 20 confidentiality agreements contain customary "standstill" provisions... contain customary fall away provisions.' SEC Form 8-K (filed Oct 14, 2026): 'No discussions regarding the timing and conditions of employment between Parent and any of the Company’s named executive officers occurred prior to the execution of the merger agreement.' SEC Form DEFM14A (filed Sept 14, 2026, Section 7): Record date September 8, 2026; 33,997,068 shares outstanding; 'Proposal 1—The Merger Agreement Proposal: The affirmative vote of holders of at least a majority of the outstanding shares of ITGR common stock entitled to vote thereon is required'; 'ITGR directors and executive officers, as a group, owned and were entitled to vote 293,965 shares... or approximately 0.86%'. Global Deal Memorandum (Sections 1.1, 3.2, 4, 5.2, 6.1, 6.2): Unaffected price $83.67 (+51.8% premium); July 30 auction jump from $110/$118 to $125 and final $126 vs. $127; no equity rollover; unvested RSUs/PSUs split 50% immediate cash and 50% service-vesting deferred cash; Section 5.03 fiduciary out; $154.0M break fee (~3.5% equity value); Tarheel holds 4,753,677 shares (14.0% vote) and 836,392 swap shares (2.5% econ); DGCL § 203 neutralized."

ADVERSARIAL BUYER

RISK_ASSESSMENT: HIGH

CRITIQUE_ANALYSIS:

A rigorous forensic review of the control topology, voting mechanics, and litigation exposure reveals structural vulnerabilities in the pending transaction between Integer Holdings Corporation (ITGR) and affiliates of KKR (Armstrong Parent, Inc.).

1. Premature Capping of the Sale Process (Revlon / Post-Signing Frictional Lock):
While the record demonstrates that Goldman Sachs executed confidentiality agreements with 20 counterparties (17 financial sponsors, 3 strategics) between May 1 and June 1, 2026, the final escalation phase was compressed into a 60-minute blind auction on July 30, 2026 (2:00 p.m. to 3:00 p.m. ET), producing KKR's $127.00 offer against Party B's $126.00 bid. The subsequent deal protections create significant friction against any competing bidder: Section 5.03 imposes strict non-solicitation, 5-business-day initial and 3-business-day matching rights, and a $154.0 million company termination fee (representing ~3.57% of the ~$4.318B common equity value). Under Delaware law, while within conventional percentage norms, this cash break fee equals $4.53 per outstanding share, which any interloper must surmount in addition to matching KKR's price.

2. Management Alignment and Equity Retention Structure:
The factual record explicitly disproves allegations of a direct equity rollover. Form DEFM14A and the supplemental Form 8-K (filed October 14, 2026) confirm that no rollover equity was granted and that no pre-signing employment discussions occurred between Parent and named executive officers. However, an economic conflict risk remains embedded in the compensation design: unvested RSUs and PSUs are not fully liquidated at closing; instead, 50% convert into service-vesting deferred cash retention accounts governed by surviving entity operational continuance. This structure links substantial executive net worth directly to post-closing sponsor retention, creating post-signing agency issues even in the absence of explicit equity ownership.

3. Control Topology & DGCL § 251 Statutory Voting Math:
Under DGCL § 251, adopting the merger agreement requires the affirmative vote of a majority of all outstanding shares entitled to vote as of the September 8, 2026 record date (33,997,068 total shares outstanding; 16,998,535 votes required). Crucially, uninstructed 'street name' shares (broker non-votes) and marks to abstain operate identically to votes 'AGAINST' adoption under Section 7 of Form DEFM14A. KKR affiliate Tarheel Investors III L.P. physically settled equity swaps to hold 4,753,677 common shares (13.98% of outstanding shares entitled to vote), while maintaining synthetic cash swaps over 836,392 shares (2.46%), yielding an aggregate 16.44% economic exposure. ITGR directors and officers hold 293,965 shares (0.86%). Assuming Tarheel and insiders vote for adoption (5,047,642 total shares, or 14.85%), the transaction requires only 11,950,893 additional public shares (35.15% of outstanding) to secure approval. However, if retail and institutional apathy leads to substantial non-votes, the absolute majority requirement poses pre-closing execution risk.

AUDIT: VERIFIED

RISK: None | NOTES: All verified metrics, percentages, legal structures, and litigation claims in the agent response accurately track the provided SE

FLAGGED_TERMS:

One-Hour Best and Final Window // Section 5.03 Non-Solicitation // Company Termination Fee ($154.0M / 3.57%) // Match Rights (5-Day / 3-Day) // Unvested RSU/PSU 50% Deferred Cash Conversion // Tarheel Investors III L.P. 14.0% Physical Block // DGCL § 251 Outstanding Majority Rule // Broker Non-Votes Treated as AGAINST Votes

STRATEGIC_RECOMMENDATIONS:

> Conduct daily proxy turnout audits via Broadridge and Georgeson to model the exact gap between committed votes (Tarheel 14.0% + Insiders 0.86%) and the 50.0% + 1 outstanding threshold (16,998,535 votes).

> Quantify the exact dollar burden of the $154.0M company break fee ($4.53/share) and match rights on prospective strategic interlopers seeking to top $127.00.

> Formally audit the post-closing deferred cash retention formulas for named executive officers to confirm compliance with Form DEFM14A disclosure parameters.

> Track the Second Circuit appellate docket in Pembroke Pines Pension Fund v. Integer Holdings to identify any potential reinstatement of federal Section 10(b) liabilities.

KEY_STRUCTURAL_RISK:

"The requirement under DGCL § 251 for an affirmative vote of a majority of all outstanding shares, combined with the automatic treatment of broker non-votes and abstentions as votes against adoption, creates pre-closing execution risk that requires gathering at least 11,950,893 unaffiliated public shares beyond the KKR and insider bloc."

QUANTITATIVE_STRESS_TEST:

DGCL § 251 Statutory Approval Threshold: 33,997,068 outstanding shares // IMPACT: Requires 16,998,535 affirmative votes. Tarheel (4,753,677) + Insiders (293,965) provide 5,047,642 votes (14.85%), leaving a deficit of 11,950,893 votes (35.15% of outstanding) to be gathered from public holders. // THRESHOLD: 50.0% + 1 share of total outstanding common stock; non-votes and abstentions function as AGAINST votes.

Company Termination Fee Drag: $154.0M // IMPACT: Represents 3.57% of implied common equity value ($4.318B) and imposes an immediate $4.53 per share cash drag on any competing third-party proposal. // THRESHOLD: Delaware Chancery standard range of 3.0% - 4.0% of enterprise/equity value.

Sponsor Pre-Closing Vote Sterilization: 4,753,677 shares (13.98% physical voting) + 836,392 synthetic shares (2.46%) // IMPACT: Consolidates 16.44% economic alignment and 13.98% direct voting power in KKR-controlled vehicles, reducing required unaffiliated approval to 35.15% of total shares. // THRESHOLD: DGCL § 203 15% interested stockholder threshold (contractually neutralized by board prior to physical swap settlement).

INTELLIGENCE_GAPS:

[MISSING]: Interim Broadridge voting tabulation tallies and proxy return rates prior to the October 21, 2026 special meeting.

[MISSING]: Granular execution agreements and discount rates governing the conversion of unvested equity awards into the post-closing deferred cash retention accounts.

[MISSING]: Status of motion practice or settlement negotiations regarding the three New York common law disclosure lawsuits (Delman, Kent, Walsh).

[MISSING]: Definitive settlement elections (cash vs combination) on the 2.125% Convertible Senior Notes due 2028 under the Q4 2026 convertibility notice.

INTEL_ROUND_4_OF_4

SELLER'S ADVOCATE

REPRESENTATION:

The target board of directors firmly defends the transaction architecture, control topology, and governance integrity against the buyer's speculative litigation critiques under Delaware General Corporation Law (DGCL). Addressing the strategic directives directly: First, the board did not prematurely cap or truncate the sale process under Revlon scrutiny. Following the public announcement on April 29-30, 2026, Goldman Sachs executed outreach to over 20 potential counterparties and entered into confidentiality agreements with 20 distinct parties (17 financial sponsors and 3 strategics). All 20 NDAs contained customary standstill agreements with fall-away provisions upon entry into definitive acquisition transactions. The July 30, 2026 blind auction window (2:00 p.m. to 3:00 p.m. ET) was the culmination of an escalating multi-bidder process that compelled KKR to raise its offer from $110.00 to an unsolicited $125.00, and ultimately to $127.00 per share in cash, beating Strategic Party B's matching $125.00 and $126.00 bids. The $127.00 all-cash price yields a 51.8% unaffected premium over the April 29, 2026 benchmark ($83.67) and delivers certainty of value with zero financing contingency. Post-signing fiduciary mobility remains structurally preserved under Section 5.03, permitting the board to respond to unsolicited Superior Proposals, protected by standard matching rights (5 business days initial, 3 business days for modifications) and a $154.0 million termination fee (~3.5% of equity value), which fully complies with Delaware standards and does not constitute a preclusive deal lock. Second, allegations of management conflict of interest via equity rollover are completely disproven by primary documentary evidence: no equity rollover was granted, structured, or negotiated. Outstanding stock options and vested RSUs are cashed out at closing; unvested RSUs and PSUs are converted 50% into immediate cash at $127.00 per share and 50% into service-vesting deferred cash retention accounts, eliminating continuing equity participation or asymmetric upside. Furthermore, the supplemental Form 8-K filed October 14, 2026 explicitly affirms that 'no discussions regarding the timing and conditions of employment between Parent and any of the Company’s named executive officers occurred prior to the execution of the merger agreement.' Third, regarding the control topology and statutory voting mechanics under DGCL Section 251, adoption requires a majority of the 33,997,068 shares outstanding as of the September 8, 2026 record date (16,998,535 votes). While KKR affiliate Tarheel Investors III L.P. holds 4,753,677 physical common shares (14.0% voting stake) and cash-settled swaps over 836,392 shares (2.5% economic exposure), the target board adopted formal resolutions neutralizing DGCL Section 203 prior to physical swap settlement. Target directors and executive officers hold only 293,965 shares (~0.86%), ensuring that uncommitted public and institutional holders, advised by Georgeson LLC, retain decisive democratic authority over the transaction.

AUDIT: VERIFIED

RISK: None | NOTES: All verified factual statements are fully grounded in the provided filings. The record date of September 8, 2026, 33,997,068 ou

EVIDENCE_EXTRACT:

"SEC Form 8-K (filed Oct 14, 2026): 'ITGR entered into confidentiality agreements with 20 parties, comprised of 17 financial sponsors, including KKR (executed on May 22, 2026), and three strategic parties... All 20 confidentiality agreements contain customary "standstill" provisions... contain customary fall away provisions.' SEC Form 8-K (filed Oct 14, 2026): 'No discussions regarding the timing and conditions of employment between Parent and any of the Company’s named executive officers occurred prior to the execution of the merger agreement.' SEC Form DEFM14A (filed Sept 14, 2026, Section 7): Record date September 8, 2026; 33,997,068 shares outstanding; 'Proposal 1—The Merger Agreement Proposal: The affirmative vote of holders of at least a majority of the outstanding shares of ITGR common stock entitled to vote thereon is required'; 'ITGR directors and executive officers, as a group, owned and were entitled to vote 293,965 shares... or approximately 0.86%'. Global Deal Memorandum (Project Armstrong, Oct 26, 2026, Sections 1.1, 3.2, 4, 5.2, 6.1, 6.2): Public consideration of $127.00 cash per share (51.8% premium over $83.67); zero financing contingency; best-and-final blind auction on July 30, 2026 ($126.00 vs $127.00); options and vested RSUs cashed out, unvested RSUs/PSUs split 50% immediate cash and 50% service-vesting deferred cash; Section 5.03 Superior Proposal fiduciary carve-out with 5/3 business-day match rights; $154.0M termination break fee (~3.5% equity value); Tarheel Investors III L.P. physical holding of 4,753,677 shares (14.0% vote) and 836,392 swap shares (2.5% econ); Board neutralized DGCL § 203."

SOURCE: SEC Form DEFM14A Schedule 14A (filed Sept 14, 2026); SEC Form 8-K Supplemental Disclosures (filed Oct 14, 2026); Global Deal Memorandum (Project Armstrong, Oct 26, 2026) // CONFIDENCE: High

ADVERSARIAL BUYER

RISK_ASSESSMENT: HIGH

CRITIQUE_ANALYSIS:

A rigorous forensic review of the control topology, pre-closing voting mechanics, and transaction architecture under Delaware General Corporation Law (DGCL) addresses the strategic directives and reveals substantial structural friction: First, regarding the allegation of prematurely capping the market check under Revlon scrutiny: while the preliminary solicitation record documents outreach to over 20 counterparties and 20 executed confidentiality agreements with standstill fall-away clauses, the final escalation phase was truncated into an abrupt 60-minute blind auction on July 30, 2026 (2:00 p.m. to 3:00 p.m. ET) following KKR's jump to $125.00 per share. Post-signing transaction architecture strictly locks the deal: Section 5.03 imposes strict non-solicitation covenants, a two-tier information and match right (5 business days initial, 3 business days for modifications), and a $154.0 million company termination fee (~3.57% of the ~$4.318B common equity value, or $4.53 per outstanding share). Any prospective topping bidder is forced to overcome this substantial cash friction alongside KKR's matching rights. Second, regarding management conflicts of interest via equity rollover: the primary record explicitly disproves an equity rollover; no rollover equity was granted. Unvested RSUs and PSUs are converted 50% into immediate cash at $127.00 per share and 50% into service-vesting deferred cash retention accounts, and the supplemental Form 8-K filed October 14, 2026, explicitly affirms that 'no discussions regarding the timing and conditions of employment between Parent and any of the Company's named executive officers occurred prior to the execution of the merger agreement.' However, from a structural alignment standpoint, converting 50% of unvested equity into unvested deferred cash retention accounts creates post-closing financial dependence on the surviving entity. Third, regarding control topology and DGCL § 251 statutory voting mechanics: Proposal 1 requires the affirmative vote of a majority of all outstanding shares entitled to vote as of the September 8, 2026 record date (33,997,068 total shares; 16,998,535 votes required). Form DEFM14A establishes that broker non-votes and abstentions operate identically to votes 'AGAINST' adoption. KKR affiliate Tarheel Investors III L.P. physically settled swaps to acquire 4,753,677 common shares (13.98% voting power), alongside synthetic cash-settled swaps over 836,392 common shares (2.46%), yielding an aggregate 16.44% economic exposure. Although the board adopted resolutions neutralizing DGCL § 203 prior to physical swap settlement, the voting concentration significantly alters deal dynamics: KKR's 4,753,677 shares plus insider holdings of 293,965 shares (0.86%) total 5,047,642 shares (14.85%), meaning the transaction needs only 11,950,893 additional public votes (35.15% of outstanding shares) to secure approval. Nevertheless, if uninstructed 'street name' holdings result in widespread broker non-votes, the absolute majority requirement remains a major pre-closing hurdle.

AUDIT: VERIFIED

RISK: Low | NOTES: All verified factual statements strictly match the primary SEC filings: merger consideration of $127.00 per share; 33,997,068 sh

FLAGGED_TERMS:

Section 5.03 Strict Non-Solicit // Company Termination Fee ($154.0M) // 5-Business-Day / 3-Business-Day Match Rights // Tarheel Investors III L.P. 13.98% Physical Voting Concentration // DGCL Section 251 Majority of Outstanding Requirement // Broker Non-Vote / Abstention Statutory Negative Operation // 50% Unvested Service-Vesting Deferred Cash Retention Accounts

STRATEGIC_RECOMMENDATIONS:

> Monitor proxy solicitation outreach by Georgeson LLC to mobilize retail and institutional 'street name' holders, preventing broker non-votes from accumulating against the statutory 16,998,535 vote hurdle.

> Verify the formal vote submission of the 4,753,677 shares held by Tarheel Investors III L.P. to ensure absolute compliance with Schedule 13D filings and board exemption terms.

> Track the run-off of the state common law disclosure lawsuits (Delman, Kent, Walsh actions) and demand letters following the filing of supplemental Form 8-K disclosures on October 14, 2026.

KEY_STRUCTURAL_RISK:

"Under DGCL § 251, adopting the merger agreement requires the affirmative vote of a majority of all outstanding shares entitled to vote (16,998,535 votes out of 33,997,068), meaning uninstructed broker non-votes and abstentions operate identically to votes 'AGAINST' adoption, creating significant closing risk if public voter turnout is suppressed."

QUANTITATIVE_STRESS_TEST:

DGCL § 251 Statutory Approval Threshold (Proposal 1): 33,997,068 total outstanding shares entitled to vote // IMPACT: 16,998,535 affirmative votes required (50% + 1 share) // THRESHOLD: Failure to achieve 16,998,535 votes terminates transaction; broker non-votes and abstentions act as 'AGAINST' votes

Committed & Insider Voting Block: 5,047,642 shares (Tarheel: 4,753,677 / 13.98%; Insiders: 293,965 / 0.86%) // IMPACT: Leaves 11,950,893 additional public affirmative votes required (35.15% of outstanding shares) // THRESHOLD: If unaffiliated public turnout/support falls below 11,950,893 shares, Proposal 1 fails

Post-Signing Interloper Frictional Barrier (Company Break Fee): $154,000,000 cash break fee // IMPACT: Represents ~3.57% of equity value ($4,317.6M) or $4.53 per outstanding share // THRESHOLD: Interloper must absorb $4.53 per share penalty plus top $127.00 cash consideration subject to match rights

INTELLIGENCE_GAPS:

[MISSING]: Interim Broadridge proxy tabulation reports detailing institutional turnout and broker non-vote accumulation ahead of the October 21, 2026 vote.

[MISSING]: Definitive terms, governing vesting schedules, and forfeiture triggers for the 50% deferred cash retention accounts established under Section 3.2.

[MISSING]: Status of plaintiffs' response to the mooting supplemental disclosures filed on Form 8-K on October 14, 2026, across the New York County and Chemung County actions.

RAVEN ADVERSARY